

AS level economics

Chp:- Demand and Supply

Topic:- Subsidy and PED!



Zorak
Mushlag

Subsidy



Grant/cash payment

given by government

to producers

to reduce cost of production

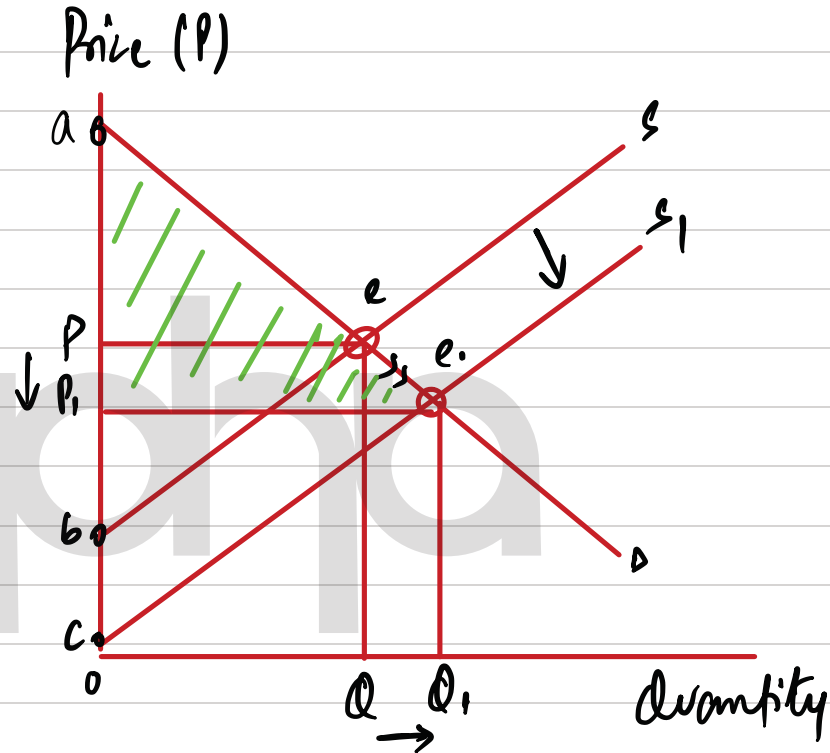
Supply ↑

Surplus

price ↓

Quantity demand ↑

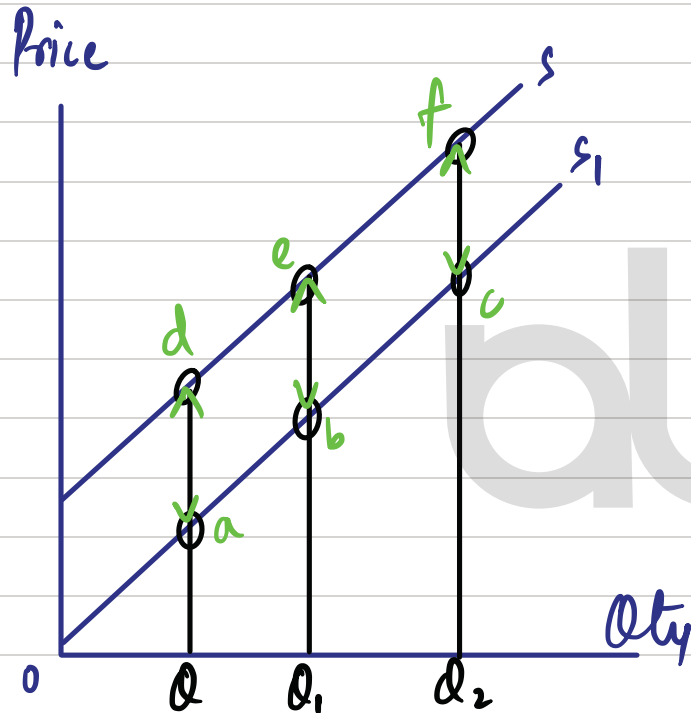
To what extent :- Depends on PED!



* C.S ↑ (P_ae to P₁a e₁)

↳ Benefits consumers

Per unit subsidy → Vertical distance between 2 supply curves

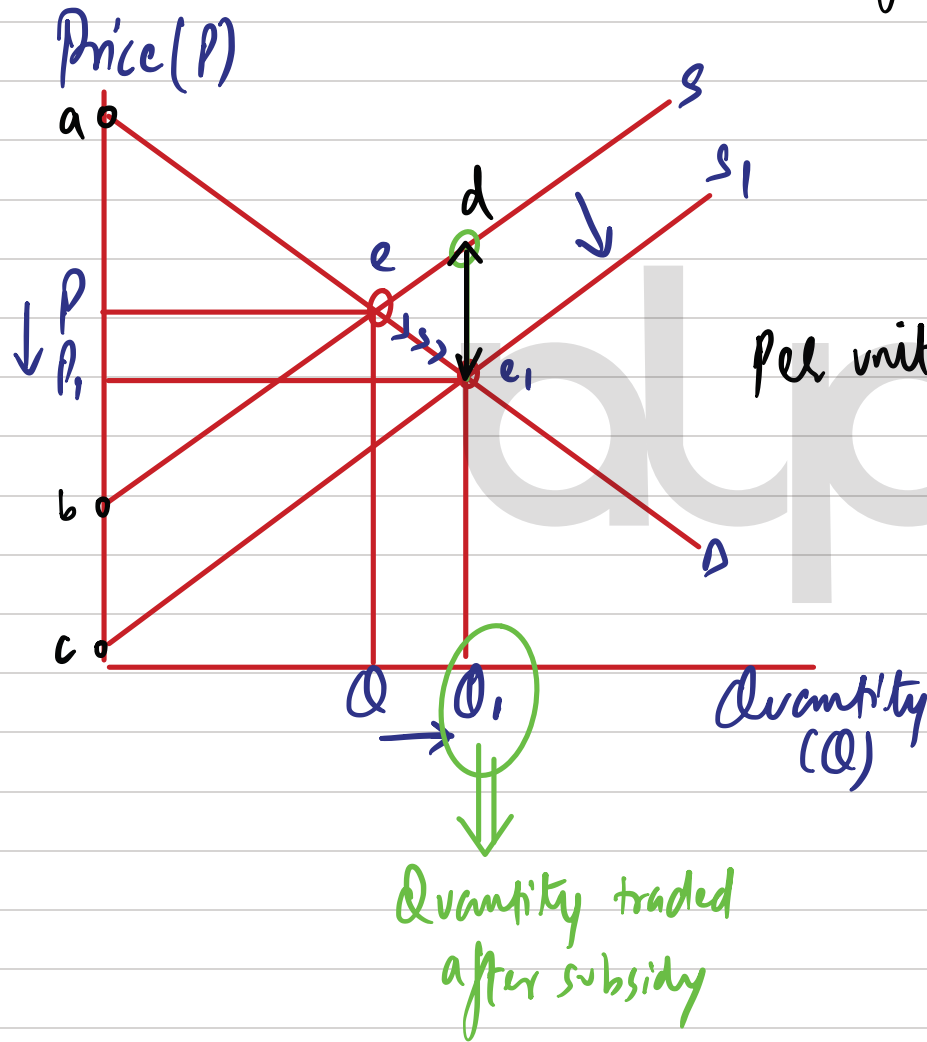


Some benefit goes to consumers in form of lower prices (Consumer Benefit)

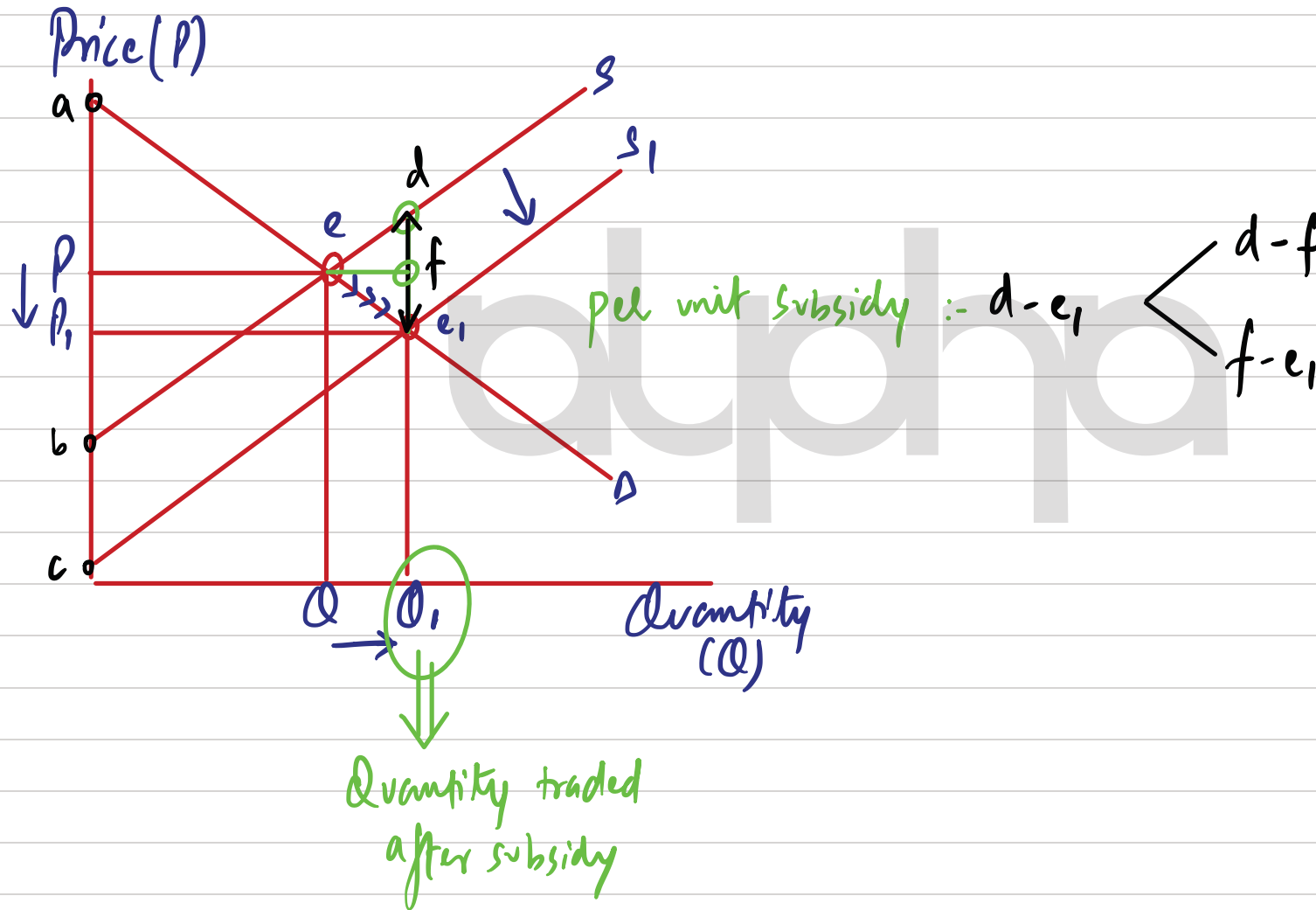
Some is kept with producers and not passed on to consumers in form of lower prices (Producer Benefit)

Per unit subsidy

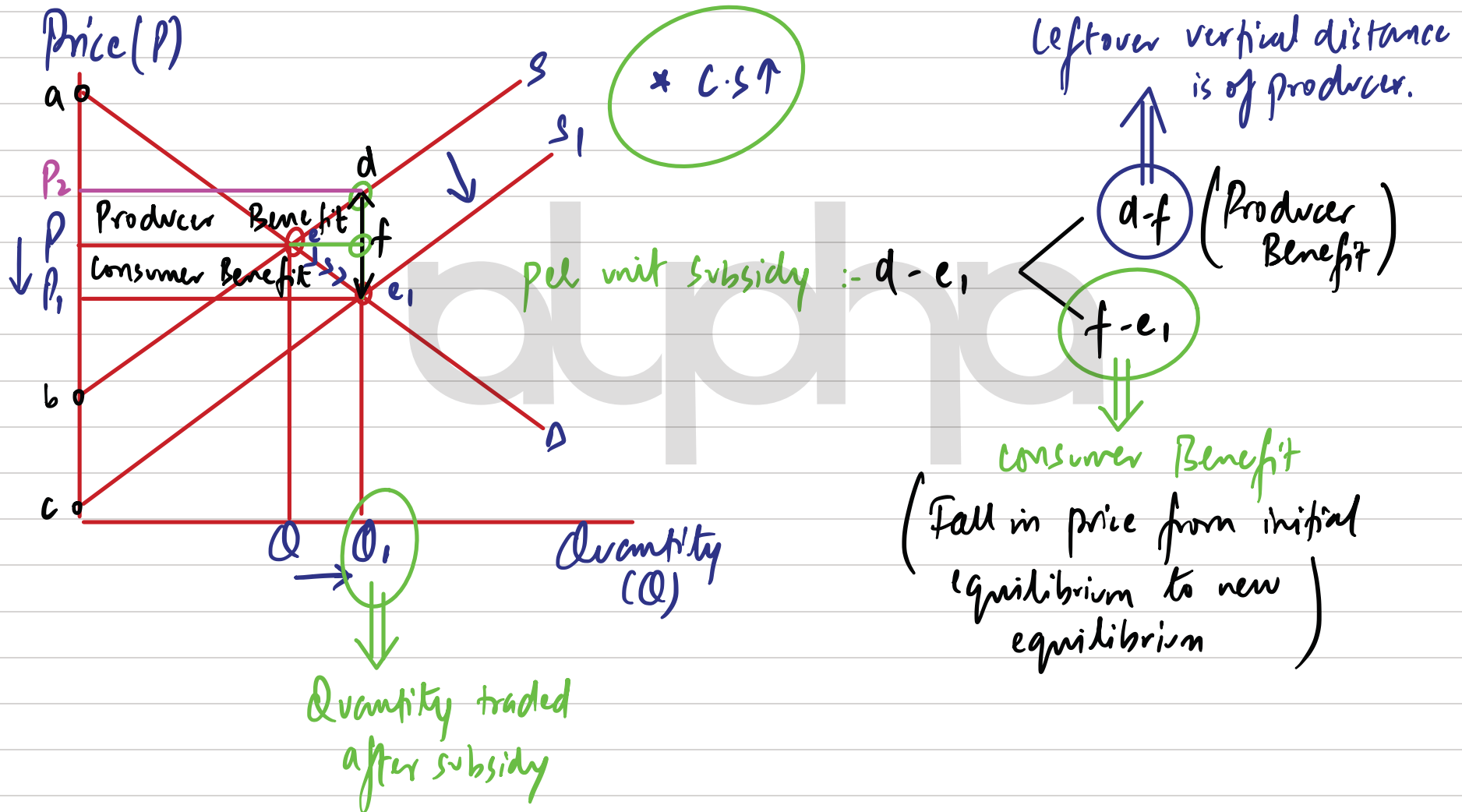
Step #1 :- Identify vertical distance from quantity traded after subsidy is provided, that is Q_1 .



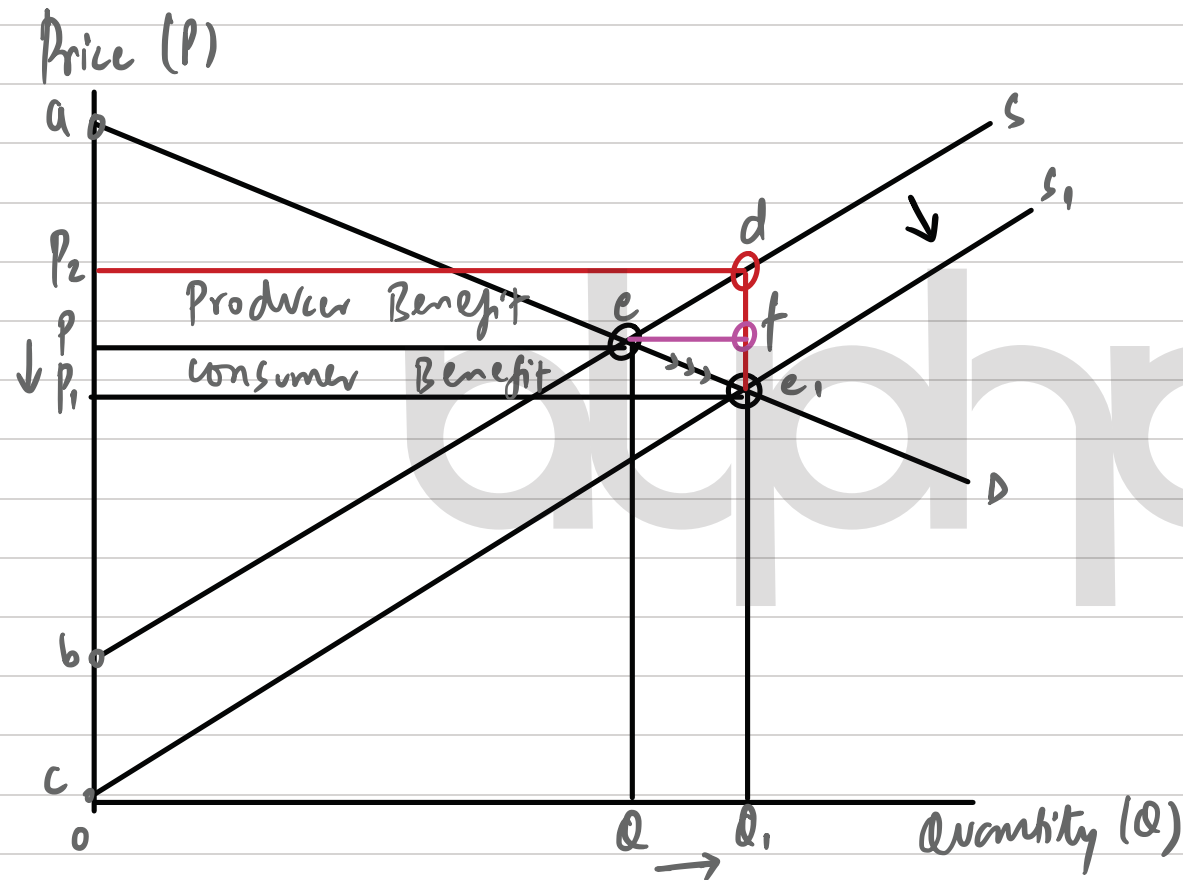
Step #2:- Divide the vertical distance into 2, from initial equilibrium



Step #3:- Producer's price to be identified from point 'a'



Subsidy given to a luxury good, that is elastic demand



Producer Benefit > consumer Benefit

e.g. local car industry



★ Industry's growth

★ TR ↑

★ Employment

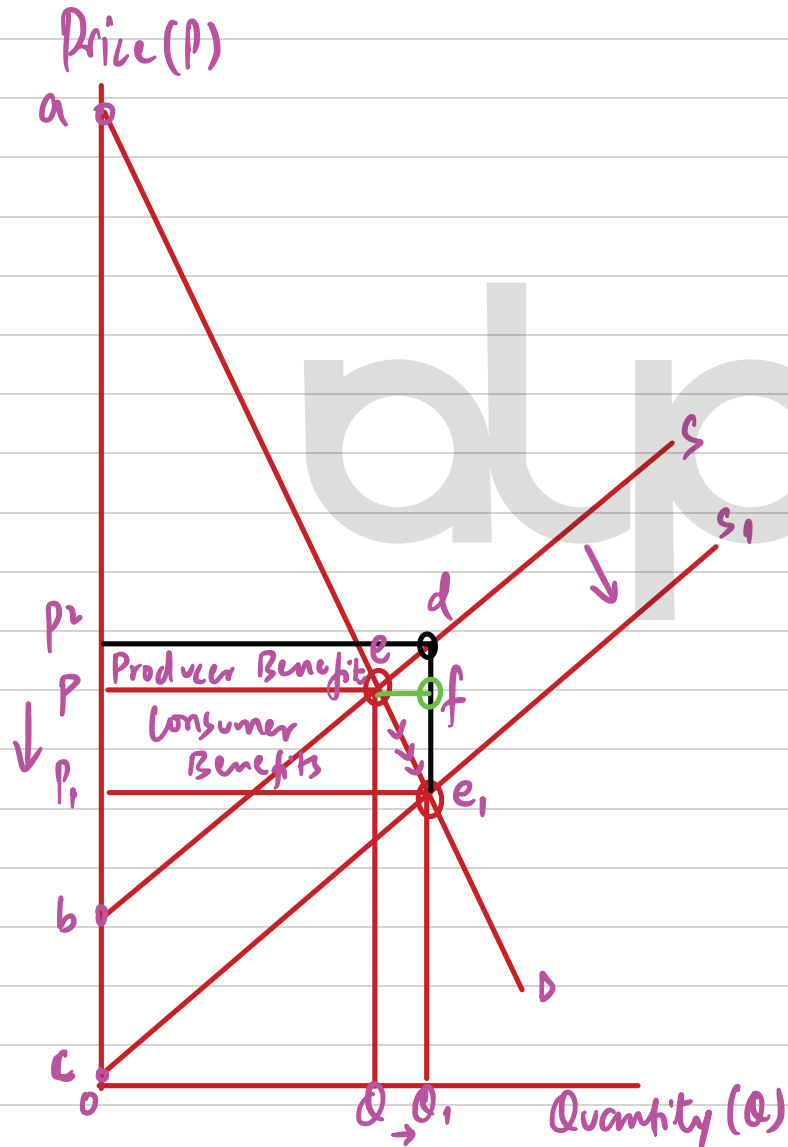
★ Demand for imports fall

★ consumer Benefits with lower price

★ Consumer surplus ↑

★ GDP ↑

Subsidy given to a necessity good, that is inelastic demand



- ★ To benefit consumers
- ★ goods affordable
- ★ Reducing consumer expenditure
- ★ Consumer surplus increases
- ★ e.g. Rice/Staple food
- ★ Consumer Benefits exceeds producer Benefits

Questions

Marks :- 16

Q1 Using a diagram, explain why a government would provide subsidy on luxury good ? 8 → Subsidy with elastic demand diagram

Ans :- Define subsidy

Diagram showing impact of subsidy

↳ Impact on C.S, P.S, TR, C.B + P.B

↳ Explain using example :- Local car industry

* Target :- Boost domestic industry

* Producer Benefit > Consumer Benefit

Q2 Using a diagram, explain why a government would provide subsidy to a basic necessity good ? 8 → Subsidy with inelastic demand diagram!

↳ Target Total Expenditure ↓, Consumer Benefit > Producer Benefit